

Plantwide/Traditional Costing

	Standard	Professional																		
DM	\$	48.00	\$	85.00	Standard	15,000	hrs	x	\$	22.00	=	\$	330,000	/	10,000	=	\$	33.00		
DL	\$	30.00	\$	60.00																
MOH	\$	33.00	\$	66.00	Professional	6,000	hrs	x	\$	22.00	=	\$	132,000	/	2,000	=	\$	66.00		
Total	\$	111.00	\$	211.00																

Est MOH	\$	660,000	=	
Est Cost Driver		30,000		\$ 22.00 per DL Hr

Note: Actual direct labor-hours for the two products totaled 21,000 hours, which was substantially below the 30,000 direct labor-hours anticipated when the predetermined overhead rate was established.

Activity Based Costing

	Standard	Professional
DM	\$ 48.00	\$ 85.00
DL	\$ 30.00	\$ 60.00
MOH	\$ 34.00	\$ 160.00
Total	\$ 112.00	\$ 305.00

					ABC Rates				
Mach Processing	\$	360,000.00	/	18,000 mach hrs	=	\$	20.00	mach hr	
Prod Set-ups	\$	180,000.00	/	90 setups	=	\$	2,000.00	setup	
Material Handling	\$	120,000.00	/	600 moves	=	\$	200.00	move	

Standard

Mach Processing	12,000 mach hrs	x	\$	20.00	=	\$	240,000.00												
Prod Set-ups	30 setups	x	\$	2,000.00	=	\$	60,000.00												
Material Handling	200 moves	x	\$	200.00	=	\$	40,000.00												
						\$	340,000.00	/	10,000	=	\$	34.00							

Professional

Mach Processing	6,000 mach hrs	x	\$	20.00	=	\$	120,000.00												
Prod Set-ups	60 setups	x	\$	2,000.00	=	\$	120,000.00												
Material Handling	400 moves	x	\$	200.00	=	\$	80,000.00												
						\$	320,000.00	/	2,000	=	\$	160.00							